

ONON pitch deck

PITCH — ONON — PROPOSED VERDICT: HOLD the 420 shares; no add before the 6-K balance sheet and call transcript; the “miss” was a currency illusion (ADJUDICATED same-day — held-name ruling)

What we believe

On Holding's Q2 was an operating beat misread through a currency lens. In Swiss francs — the reporting currency — sales grew 13.5%; in constant currency they grew 21.6%, which BEAT consensus by ~3.4%. Gross margin rose 390bps to 65.4%. The gross-margin guide was RAISED to ≥65% while fully absorbing US tariffs on Vietnamese production, with anticipated tariff REFUNDS excluded from guidance — a free option. Direct-to-consumer accelerated to +34.3% cc. The stock's -14% repriced a real but modest thing: constant-currency growth decelerating from 26% to 22%, and a full-year cc trim from “at least 23%” to “low-20s.”

What the market believes

The headline machine printed “sales miss + guide cut on tariffs” and sold the stock to (near) its 52-week low. Dollar-based models met franc-based reporting and concluded demand was breaking. The wholesale channel deceleration (25% → 13% cc) is being read as brand fatigue.

Why we might have edge

The FX-basis join is our checked, named defect class (the desk catches unit/currency plane errors as standing doctrine), and the primary documents resolve it unambiguously. Also: the tariff mechanics were quantified by the company in MAY — a known, absorbed input, not a new shock — and the refund is unpriced. DTC acceleration against wholesale decel means the margin MIX is improving exactly as reported margins show.

Why it might be priced in

The cc deceleration is real; Americas cc growth of 13% is the worst region; H2 implies ~18–22% cc. If “low-20s” becomes “high-teens” at Q3, the premium multiple compresses further regardless of FX. Insider distribution (Form 144s May–July) preceded the print.

What we checked ourselves

claim	how checked	found	confirmed?
“sales miss”	company PR, CHF cc math	cc +21.6% = ~3.4% cc BEAT	YES — the miss was translation
“guide cut on tariffs”	guidance tables	GM guide RAISED to ≥65%, tariffs absorbed, refunds excluded	YES — premise inverted
“brand deceleration”	channel splits	DTC ACCELERATING +34.3% cc; wholesale sell-in is the decel	Partially — wholesale real, brand no
our own screen row	vs primary	our “-18% / not-a-beat / at the low” framing was WRONG on all three	YES — bench corrected the desk
net cash / multiple	6-K pending	Class A/B split + leases block per-share math	NOT YET — today’s 6-K

PROPOSED ENTRY BANDS

No new entry. HOLD 420 @ \$36.60 basis. Add considered ONLY after: (1) today’s 6-K balance sheet resolves share-class math; (2) the call transcript separates wholesale sell-in from sell-through and quantifies the tariff refund; (3) the conditioning layer reads the selloff OVERDONE. Q3 (~Nov) cc trajectory is the trend gate: cc ≥ 20% holds the thesis; below ~18% forces the trim question. The resting 100 @ \$46 exit band stays (harmless upside trim).

ARMED SENSORS

- Today: 6-K balance sheet (net cash, Class A/B economics) + Q2 call transcript (sell-in vs sell-through, US door count, refund quantum)
- Q3 print (~2026-11): H2 constant-currency trajectory vs the implied 18–22%
- IEEPA tariff-refund resolution — dateless; the unpriced option
- Insider Form 4/144 cadence post-print
- MISSING and now added: a standing FX-translation check on every FPI print (this bench’s template correction: ONON is a 20-F/6-K filer)

What remains unverified

The live tape at ruling time (bench was quote-blocked; –14% premarket was the sourced number); the 6/30 balance sheet (secondary only); wholesale sell-through vs sell-in; the size and timing of any tariff refund.

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Primary: <https://www.on.com> (Q2-2026 release, 2026-08-11).